D06 · Carrier Management & TMS

05 · Fleet management: own fleet vs. 3PL decision

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1 WHAT IT IS

The own-fleet vs. 3PL decision compares running private or dedicated vehicles against buying capacity from carriers and 3PLs — on full cost, service control, flexibility and risk — and usually ends in a hybrid.

2 WHY IT MATTERS

Own fleets are often justified on a partial cost view that leaves out management time, downtime, insurance, security and residual value risk. **Pure outsourcing, on the other hand, can leave the shipper without capacity when the market tightens.** The defensible answer combines a stable core with flexible capacity, and revisits the boundary as volumes and markets change.

3 HOW IT IS DONE

1. **Build the full TCO of ownership.** Vehicles, fuel, drivers and benefits, maintenance, tires, insurance, tolls, permits, security, management overhead and downtime.
2. **Price the alternative honestly.** Dedicated contract, spot and 3PL rates for the same lanes and service level, including peak-season behavior.
3. **Value control explicitly.** Service differentiation, brand presence and capacity assurance are real benefits; put a number on them.
4. **Design the hybrid and set a review date.** Core lanes on own or dedicated fleet, peaks and tail outsourced; re-evaluate every 2–3 years.

IN PRACTICE

Calculate full TCO of ownership before deciding

Omitting management overhead, downtime and residual value risk systematically biases the analysis toward ownership.

Default to hybrid unless there is a strong strategic reason for pure models

Pure own fleet is rigid. Pure 3PL can leave the shipper exposed on capacity and service. Hybrid captures the advantages of both.

Re-evaluate the boundary every 2–3 years

Freight market conditions, volume patterns and internal capabilities change. The optimal split is not static.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

Illustrative case — Regional distributor evaluating fleet strategy — Operated a pure 3PL model with rising rates and declining capacity commitment during peaks.

Option	Annual Cost	Service & Control
100% 3PL (current)	Baseline	Low control, capacity risk in peak
100% own fleet	+18%	High control, high fixed cost, low flexibility
Hybrid (60% dedicated + 40% 3PL)	-4% vs current	Core volume protected, peak flexibility retained

Result: Hybrid model implemented. Core lanes moved to dedicated fleet with service-level guarantees. Peak and long-tail volume remained with 3PLs. Overall cost slightly lower and peak-season OTIF improved 5 points.

HOW IT IS MEASURED

Cost per Km / Cost per Delivery (own vs 3PL)

Fully loaded cost comparison on comparable lanes

Benchmark: Must include all ownership costs; partial costing leads to wrong decisions

Fleet Utilization % / Dedicated Fleet OTIF

Utilization of owned or dedicated assets and their service performance

Benchmark: Own/dedicated fleet should outperform 3PL on OTIF if the control premium is to be justified

WHAT YOU WOULD USE

Fleet & Dedicated Fleet Management

SAP TM / fleet modules in major TMS — Support for private and dedicated fleet planning alongside common carrier.

Specialized fleet management systems — Used when own fleet is large enough to justify dedicated maintenance, fuel and compliance management tools.

4 SO WHAT

Decide on full cost and on control, then go hybrid. Count every ownership cost, price the market honestly, value control explicitly, and revisit the split on a schedule.

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